

**Before the
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-07

Impact Products, LLC *et al.* v. CMA CGM S.A.

**RESPONDENT CMA CGM S.A.’S
MOTION TO DISMISS**

Respondent CMA CGM S.A. (“Respondent” or “CMA”), by counsel, pursuant to 46 C.F.R. 502.69 and 502.70, moves to dismiss with prejudice the Complaint filed by Impact Products, LLC and Safety Zone, LLC (collectively, “Complainants”). For more than 80 years, the Federal Maritime Commission has maintained that only “direct purchasers” may seek reparations under the Shipping Act, 46 U.S.C. §§ 41301 *et seq.* By their own admission, Complainants are indirect purchasers and, as a result, lack standing to seek reparations. While Complainants have cured their lack of standing in other cases by taking an assignment of claims from the direct purchaser, that is not possible here. The service contracts between CMA and the direct purchaser expressly prohibit any assignment, and controlling precedent precludes Complainants from end-running that prohibition. Consequently, Complainants lack and are incapable of obtaining standing to seek reparations from CMA, and their Complaint must be dismissed.

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STATEMENT OF MATERIAL FACTS

This case arises out of a number of shipments carried on CMA vessels in 2021 and 2022. Compl. ¶ 13. Non-party Laufer Group International, Ltd. (“Laufer”) booked the shipments with CMA, allegedly acting as a “freight forwarder.” *Id.* Complainants assert that Laufer charged them demurrage, detention, per diem, and storage fees that were unreasonably high, which they believe originated with CMA. *Id.* ¶ 16. Critically, however, Complainants admit they contracted with Laufer, not CMA, for *all* the shipments. *Id.* ¶ 13. Complainants also admit that Laufer, not CMA, invoiced them for *all* the charges they claim were unreasonable. *Id.*

Laufer was not actually a “freight forwarder” with respect to any of the shipments. Rather, Laufer arranged the shipments in its own name and for its own account as a Non-Vessel Operating Common Carrier (NVOCC) under service contracts with CMA. *See* Service Contract #20-2959, as amended (**Exhibit 1**); Service Contract #20-4320, as amended (**Exhibit 2**); Service Contract #21-4320, as amended (**Exhibit 3**); Service Contract #21-4388, as amended (**Exhibit 4**); Service Contract #22-4668, as amended (**Exhibit 5**); and Service Contract #21-1495, as amended (**Exhibit 6**) (all redacted to protect proprietary information without affecting legal terms).

Every shipment at issue was booked under one of these service contracts, save for three. *See* Declaration of C. Wiley Grandy (**Exhibit 7**). Of those three, two were booked under CMA’s TA-IndaMex2021 tariff and one moved under a CMA service contract with another NVOCC, THI Group (Shanghai) Ltd. Regardless, in all instances, Laufer was the consignee on the bill of lading and was invoiced for and paid the destination charges. *Id.*

Perhaps perceiving this flaw in their approach, in a single sentence without factual or legal support, Complainants argue, “[w]hile Laufer invoiced Supply Source for the Charges, it was simply *acting as a conduit* for the Charges that were sent by CMA.” Compl. ¶ 13 (emphasis added). In other words, Complainants allege that they have been injured not by their own contract,

but by charges resulting from contracts between CMA and Laufer, which Laufer, in its discretion and in whatever amounts it deemed appropriate, decided to pass on to Complainants. As explained below, courts and this Commission have repeatedly and consistently rejected this kind of claim, as it violates the “direct purchaser” rule for reparations under the Shipping Act.

PROCEDURAL BACKGROUND

Complainants filed their Complaint on February 14, 2024, asserting violations of the Shipping Act and seeking reparations for alleged injuries. Compl. ¶ 1. On March 7, 2024, CMA filed an Answer to the Complaint, with affirmative defenses, denying any violation or any responsibility to pay reparations. Echoing the arguments here, CMA’s affirmative defense #5 states, “[a]ny damage[s] sustained by Supply Source were caused solely by the actions or fault of third parties for whom CMA is not responsible, specifically the freight forwarder and/or NVOCC Supply Source used to arrange each of the shipments.” Answer, p. 5. Similarly, CMA’s affirmative defense #7 states, “under the FMC’s [direct] purchaser rule, Supply Source is not entitled to pursue reparations against CMA as it did not pay the challenged charges to CMA.” *Id.*

STANDARD OF REVIEW

Under 46 C.F.R. 502.69(a), a party may file a dispositive motion anytime “[a]fter the assignment of a presiding officer to a proceeding and before the issuance of his or her recommended or initial decision. . .” A motion must “state clearly and concisely the purpose of and the relief sought by the motion, the statutory and principal authority relied upon, and the facts claimed to constitute the grounds supporting the relief requested.” 46 C.F.R. 502.69(e).

Under the Commission’s rules of procedure, “dispositive motion means a motion for decision on the pleadings; motion for summary decision or partial summary decision; motion to dismiss all or part of a proceeding or party to a proceeding; motion for involuntary dismissal;

motion for initial decision on default; or any other motion for a final determination of all or part of a proceeding.” 46 C.F.R. 502.69(g). A dispositive motion must “include a concise statement of the legal basis of the motion with citation to legal authority and a statement of material facts with exhibits as appropriate.” 46 C.F.R. 502.70.

ARGUMENT

I. Only “direct purchasers” of shipping services may seek reparations under the Shipping Act.

Under 46 U.S.C. § 41305(b), only those who have suffered an “*actual injury*” from a violation of the Shipping Act may seek reparations. Controlling precedent from both the Supreme Court and this Commission supports the proposition that “*the person that paid* illegal overcharges is the *only person ‘directly damaged,’ regardless of what may have occurred later.*” *Intermodal Motor Carriers Conference v. OCEMA*, 2024 WL 641501 at *44 (FMC Feb. 13, 2024) (emphasis added); *Southern Pacific Co. v. Darnell Taenzer Lumber Co.*, 245 U.S. 531, 534 (1918) (holding that if a carrier’s profit is unlawful, “the only one who can take it from him is the one that alone was in relation with him, and from whom the carrier took the sum”).

This principle has come to be known as the “direct purchaser rule.” The Commission explained the rule in *TCW, Inc. v. Evergreen Shipping Agency (AM) Corp.*:

Under the direct purchaser rule, *only the party who actually paid the carrier can sue for reparations* for an overcharge, *not indirect purchasers further down the chain*... Under the direct purchaser rule, ‘parties suing for alleged overcharges can only recover reparations if they *actually paid the carrier* or received an assignment from the direct purchaser.’

2022 WL 18068977 at *7 (FMC Dec. 29, 2022) (emphasis added).

The rule stems from the direct purchaser rule used by the Supreme Court in the antitrust context. *Id.*; see also *Southern Pacific Co.*, 245 at 533-34 (holding that the law does not inquire beyond the “first step” of the transaction because parties farther along the chain are not in “privity

with the carrier” and therefore have no action against the carrier for alleged overcharges). The Supreme Court developed the rule “to avoid the complex task of accurately and fairly apportioning damages among various parties along the distribution chain,” rejecting precisely the approach Complainants advocate here. *In re Vehicle Carrier Services*, 1 F.M.C.2d 440, 446 (FMC Oct. 21, 2019) (citing *Illinois Brick v. Illinois*, 431 U.S. 720, 730-37 (1977)).

Thus, in order to sustain a claim for reparations against CMA in this case, Complainants must have either (1) directly paid CMA for transportation services or (2) lawfully received an assignment from the entity that did. Complainants did neither.

II. Complainants are not direct purchasers from CMA.

By their own admission, Complainants never directly paid CMA for anything. In fact, Complainants maintain the opposite, asserting in their Complaint that “[t]hroughout the relevant period . . . Laufer invoiced [Complainants] for the Charges.” Compl. ¶ 14. Complainants never received an invoice from CMA, nor did they provide any sort of payment to CMA. CMA’s only contracts, completely undisclosed in the Complaint, were with Laufer (save for three instances where Laufer still paid all charges), and Laufer contracted with Complainants. These facts alone should end this case.

Nevertheless, Complainants attempt to bypass their lack of privity by claiming that Laufer was “simply acting as a conduit for the Charges[.]” Compl. ¶ 14. This allegation, even if supported (it is not), describes exactly the type of relationship that this Commission has held is *not sufficient* to demonstrate a direct payment. Indeed, this Commission rejected the same argument in *TCW, Inc. v. Evergreen Shipping Agency (AM) Corp.*, 2022 WL 18068977 (FMC Dec. 29, 2022), quoting its previous rejection of the argument in *In re Vehicle Carrier Services*, 1 F.M.C.2d 440, 446 (FMC Oct. 21, 2019). As the Commission explained:

In the 80 years since the Shipping Board held that a respondent could not rely on a pass-on theory to avoid liability to a Claimant for reparations, ***the Commission has repeatedly found that a Claimant cannot rely on a pass-on theory to recover reparations for overcharges.*** In numerous decisions, the Commission has ruled that ***only the party who actually paid the carrier*** (or the valid assignee of the payor) can sue for reparations.

TCW, 2022 WL 18068977 at *16 (emphasis added) (quoting *In re Vehicle Carrier Services*, 1 F.M.C.2d at 446).

In re Vehicle Carrier Services is remarkably similar to this case. In *In re Vehicle Carrier Services*, complainants argued that an ALJ erred in finding that certain vehicle purchasers, truck wholesalers, and automobile dealers—all indirect purchasers—“lack[ed] standing to sue for reparations under the Commission’s direct purchaser rule.” 1 F.M.C.2d at 445. Like Complainants here, the complainants in *TCW* relied on a “pass-on theory” to attempt to avoid dismissal.

The Commission squarely rejected their argument. In affirming the ALJ, the Commission reiterated its longstanding rule that “parties suing for alleged overcharges can only recover reparations if they ***actually paid the carrier or received an assignment from the direct purchaser.***” *Id.* at 445 (emphasis added). The Commission further held that direct purchaser status requires “strict proof” of direct payment, which cannot be made by allegations of a pass-through relationship: “[I]n applying the direct purchaser rule, the Commission follows strict proof requirements. Complainants can recover only if they introduce evidence that ***they actually paid the carrier*** or received an assignment from someone who did.” *Id.* at 445 (emphasis added).

Here, Complainants cannot possibly offer “strict proof” of direct payment because they admit the opposite in their Complaint—that they never paid CMA anything. Because they are not direct purchasers, and because their “pass-on theory” is precluded by precedent, their case must be dismissed. *See, e.g., Ovchinnikov, et al. v. Hitrinov, et al.*, 2023 WL1963462 at * 12 (FMC Feb. 8, 2023) (“Because Complainants did not purchase the vehicles from Respondents, they do not

properly state—and *could never prove*—their claims for damages as there is no alleged causal link between any complained-of conduct and the monetary relief sought.”) (emphasis added).

III. Complainants are barred from “becoming” direct purchasers by way of assignment.

A. The CMA service contracts prohibit assignment.

Complainants are also unable to cure their lack of standing because they cannot lawfully take an assignment of direct purchaser rights. Unlike in other cases before this Commission, where Complainants have cured their indirect purchaser status by assignment, Laufer is prohibited from assigning its rights to Complainants here due to the express language of the service contracts between Laufer and CMA.¹ **See Exhibits 1-6.**

The “Essential Terms” of all five service contracts for the shipments at issue contain the same explicit prohibition against assignment without prior written consent of CMA:

27. ASSIGNMENT

A. Merchant may not assign this Contract, including any or all its rights or liabilities hereunder, or to otherwise permit any other person or entity, directly or indirectly to utilize services, rates, or other terms provided by Carrier hereunder, without the prior written consent of Carrier.

CMA never consented to Laufer assigning any of its “rights or liabilities” to anyone, much less Complainants. **See Exhibit 7.** As a result, Complainants cannot prosecute Laufer’s rights here. Indeed, an opposite result would contradict their own Complaint, which they never amended. Complainants do not seek reparations for Laufer’s damages, if any; they seek reparations for fees

¹ The need to resort to an assignment of claims in other cases is a telling concession that Complainants are not themselves direct purchasers. *See, e.g., Impact Products, LLC et al. v. Lihua Logistics Co. Limited – LLHP*, No. 24-06 (FMC 2024); *Impact Products, LLC et al. v. COSCO Shipping Lines Co., Ltd.*, No. 24-09 (FMC 2024); *Impact Products LLC et al. v. Orient Overseas Container Line Limited and OOCL (Europe) Limited*, No. 24-08 (FMC 2024).

assessed by *Laufer against them*, in whatever amounts Laufer decided to charge them. *See, e.g.*, Compl. ¶ 1 (seeking reparations for “injuries to *Supply Source*,” not to Laufer) (emphasis added) and Compl. ¶ 52 (seeking reparations for “financial damages to *Supply Source*,” not to Laufer) (emphasis added).

Courts have consistently enforced contractual prohibitions against assignments, including in the maritime context. The Supreme Court has held that maritime law includes general principles of contract law. *CITGO Asphalt Ref. Co. v. Frescati Shipping Co.*, 589 U.S. 348, 355 (2020). The Supreme Court has also held that maritime contracts “must be construed like any other contracts: by their terms and consistent with the intent of the parties.” *Norfolk Southern R. Co. v. James N. Kirby, Pty Ltd.*, 543 U.S. 14, 31 (2004). And courts have held the same in the specific context of assignments, interpreting assignments under general maritime law the same as assignments under contract law. *See Saint John Marine Co. v. United States*, 92 F.3d 39, 47 (2d Cir. 1996) (“the meaning of the term ‘assignment’ in contract law is not altered in the maritime context.”).

The rule enforcing anti-assignment clauses is well established. Contractual rights are generally assignable unless assignment is precluded by the contract itself, as in this case. *See California Shipping Line Inc. v. Yangming Marine Transport Corp.*, 25 S.R.R. 1213 (FMC Oct. 19, 1990); *see also* Restatement (Second) on Contracts § 317(2)(c). CMA’s service contracts prohibit not only a merchant’s assignment of rates or pricing, but also “***all its rights or liabilities***” under the contracts. Applied here, any right to repayment from CMA necessarily arises under the contracts, as they were the basis for the charges in the first place, even if the vehicle for asserting that right is the Shipping Act. Under this rule alone, Laufer cannot assign its rights.²

² Notably, CMA’s contract language does not preclude reparations if warranted, but merely ensures that CMA can be sued only by the known party with whom it contracted. This approach is consistent with Commission precedent, which does not guarantee assignability, but allows a

The rule for shipping service contracts, however, makes assignment even more difficult. For service contracts, the general rule is flipped: instead of defaulting to assignability, service contract rights are generally ***not assignable***, unless assignment is expressly allowed in the contract.

As the Commission explained in *California Shipping Line*:

...[S]ervice contracts are not simply private contracts but rather are a form of public contract statutorily subject to regulation by the Commission to prevent abuses. The Commission's service contract rules provide that the essential terms of a service contract shall include contract clauses which permit deviations from an original essential term. 46 C.F.R. § 581.5(a)(3)(viii). This deviation clauses requirement applies to several listed situations, including assignment of the contract. *Id.* § 581.5(a)(3)(viii)(F). ***Consequently, rights under a service contract cannot be assigned unless the contract so expressly permits.***

25 S.R.R. 1213, *75-76 (emphasis added, underline in original).³

The reason for this anti-assignment rule is that service contracts are based on anticipated shipping volumes. As the Commission explained, "A carrier enters into a service contract with a shipper because it believes that that particular shipper will provide the minimum amount of its own cargo. The shipper in turn receives a lower rate than that contained in the carrier's tariff." 25 S.R.R. 1213, *76. The Commission continued, "Permitting a non-contract signatory, or affiliate thereof, to obtain the lesser contract rates undermines the regulatory scheme established by Congress. Not only is that shipper obtaining a contract rate to which it is not entitled, but it is also evading the tariff rate that would otherwise be applicable." *Id.* at *76-77.

The CMA service contracts contain no language allowing assignment. In fact, they expressly forbid it without prior written consent, which CMA never gave. As a result,

non-party, in limited circumstances, to avoid the bar of the direct purchaser rule only if a right has been *validly* assigned. *TCW*, 2022 WL 18068977 at *16 ("In numerous decisions, the Commission has ruled that only the party who actually paid the carrier (or the *valid assignee* of the payor) can sue for reparations.") (quoting *In re Vehicle Carrier Services*, 1 F.M.C.2d at 446).

³ Regulations related to service contracts are now codified at 46 C.F.R. 530 *et seq.*, but the justification for the anti-assignment rule in *California Shipping Line* has not changed.

Complainants cannot cure their lack of standing with an assignment from Laufer. And without an assignment from Laufer, Complainants cannot overcome the bar of the direct purchaser rule.

B. Complainants’ purported assignment is defective.

Even if assignment were not already barred, Complainants’ purported assignment still fails for two reasons not raised in other cases: (1) standing to sue for damages cannot be conveyed retroactively, as Complainants attempt here; and (2) the language of their purported assignment does not actually assign rights arising out of the shipments at issue, but instead assigns rights arising out of administrative proceedings. *See* Assignment dated April 4, 2024 (**Exhibit 8**).

On the first point, while this Commission has held that injury is not required to sue under the Shipping Act, where a Complaint is filed *as a suit for damages*, the same standing rules that apply in the federal courts should apply in this Commission. Under those rules, standing is determined based on facts existing at the time of filing. *See Lujan v. Defenders of Wildlife*, 504 U.S. 555, 569 n.4 (1992). As the Eleventh Circuit explained, “[i]n order for an assignment with a retroactive effective date to be valid for standing purposes, the assignee must possess the assigned right on the day it filed the complaint. This requirement cannot be met retroactively. *An assignment of the right to sue is invalid if it was executed after the lawsuit was filed.*” *MSP Recovery Claims v. QBE Holdings*, 965 F.3d 1210, 1213 (11th Cir. 2020) (emphasis added). Complainants filed their Complaint on February 14, 2024, yet their assignment document is dated April 4, 2024. As a result, it is invalid to convey standing even if not already prohibited.

On the second point, the assignment document Complainants produced in other cases does not actually assign Laufer’s rights arising out of the shipments here. Instead, it explicitly transfers only rights and causes of action “arising from the Administrative Proceedings.” **Exhibit 8**, p. 2, ¶ 2. “Administrative Proceedings” are narrowly defined as the limited set of cases pending before this Commission, all initiated on February 14, 2024. *See* Docket Nos. 24-05, 24-06, 24-08, 24-09,

and 24-10. The shipments at issue occurred years before the Administrative Proceedings, and no language transfers any rights or causes of action arising out of those transactions. As such, even ignoring all other defects, the purported assignment cannot save Complainants' claims.

CONCLUSION

For all these reasons, CMA respectfully requests that the Commission dismiss the Complaint in this case with prejudice.

Dated: August 28, 2024

Respectfully submitted,

/s/ W. Ryan Snow

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CERTIFICATE OF SERVICE

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